

EU AI Act: High-Risk Banking Model Update

Compliance requirements for AI systems used in creditworthiness, pricing, fraud detection, and customer eligibility decisions.

APPLIES TO	Providers & deployers of high-risk AI systems
USE CASES	Creditworthiness · Pricing · Fraud detection · Customer eligibility
OBLIGATIONS	Five core requirements

01 Data Governance

Providers and deployers of high-risk AI systems used for creditworthiness, pricing, fraud detection, or customer eligibility decisions must establish data governance controls over training data, validation data, and testing data so datasets are relevant, representative, accurate, and complete.

02 Data Lineage & Provenance

The bank must maintain documented lineage and provenance for data used to train high-risk AI systems, including source systems, transformation history, quality checks, approvals, and retained evidence for regulatory review.

03 Record-Keeping & Logging

High-risk AI systems shall automatically record events and logs throughout the model lifecycle so decisions, model outputs, human interventions, and system changes remain traceable for audit and supervisory investigation.

04 Human Oversight

The bank must provide effective human oversight for high-risk AI decisions, including clear escalation paths, authority to override automated outcomes, and evidence that reviewers understand model limitations.

05 Robustness & Performance Monitoring

The bank must ensure model robustness, accuracy, cybersecurity, and ongoing performance monitoring through validation, backtesting, drift detection, and documented remediation when model performance falls below approved thresholds.

Provided for reference. This summary does not constitute legal advice.